Based on the provided context, here is a correct and clear explanation of the budget components:

A budget plan, as outlined, consists of three main sections: Income, Fixed Expenses, and Savings and Emergency Fund.

1. Income * **Net Monthly Income:** This is your primary income source. * **Other Monthly Income:** This includes additional income from sources like Canada Child Benefit, investment income, or gifts. * **Total Net Income (a):** This is calculated by adding all monthly income amounts. The net income is the amount to be used in your budget.

2. Fixed Expenses These are expenses that do not change readily and you have little control over. They include: * Rent or Mortgage * Property Tax * Housing Strata/Condominium Fees * Other housing-related costs * Heating * Utilities: Electricity (using average monthly amounts) and Water * Vehicle Payment * Loans: Student loan, Auto loan, Home/Property loan * Insurance: Life/Disability * Childcare * Family Responsibilities: Child/Spousal Support * TV/Cable/Satellite * Telecommunications: Phone (mobile and/or landline) and Internet (note: some telecommunications may be negotiable and a source of budget flexibility). * **Total Fixed Expenses (b):** This is the sum of all monthly fixed expense amounts.

3. Savings and Emergency Fund * **Savings Goal:** This involves calculating a required contribution based on a total savings needed over a specific time frame (e.g., retirement savings). Savings are different and separate from your emergency fund, representing untouched funds that grow over time. * **Emergency Fund:** This part of your budget is for unexpected costs (e.g., a broken-down car, replacement refrigerator). A suggested amount is 3 months' salary. * **Total Savings Contributions (c):** This is the sum of your savings goal contributions and emergency fund contributions.

Comparing Income and Expenses (Spending Plan Step 3) To determine if your budget is balanced: 1. Write down your total monthly income (a). 2. Write down your total monthly expenses (which would include fixed expenses (b) and total savings contributions (c), and any other variable expenses not explicitly listed but implied in a complete budget). 3. Subtract total expenses from total income. 4. If you have money left over at the end of the month, your income and expenses are balanced.